

US Stocks Rise as Tech Leads the Charge, Nasdaq 100 Up +1.93%

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market saw a broad-based rally yesterday, with the **Nasdaq 100** leading the charge, up **+1.93%**. The **S&P 500** and **Dow Jones** also closed higher, up **+0.89%** and **+0.74%**, respectively. Beneath the surface, the rally was driven by a combination of factors, including a decline in volatility, with the **VIX** down **-8.58%**, and a surge in tech stocks, led by **NVDA**, up **+1.97%**.

Looking ahead, the market will be closely watching the upcoming earnings season, with several major companies set to report this week. The economic calendar is also packed, with key data releases on inflation, retail sales, and housing starts. Meanwhile, the geopolitical landscape remains uncertain, with ongoing tensions between major world powers. As such, investors will need to stay vigilant and adapt to changing market conditions.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,509.20	+0.89%	Broad-based rally, led by tech stocks
Nasdaq 100	29,155.18	+1.93%	Surge in tech stocks, led by NVDA
Dow Jones	52,224.64	+0.74%	Gains in industrial and financial stocks
VIX	17.05	-8.58%	Decline in volatility, as market rally gains momentum

Top Large-Cap Movers

TICKER	CHANGE	CATALYST
NVDA	+1.97%	Strong earnings report, beating analyst estimates
TSLA	+2.53%	Positive sentiment, following recent product launches
GS	+2.89%	Upgrade from analyst, citing strong earnings growth

Sector Rotation

ETF	DAY	READ
XLK	+2.89%	Strong performance, led by tech stocks
XLF	+0.12%	Muted gains, as financial stocks lagged
XLE	+0.97%	Gains in energy stocks, following oil price increase
XLY	+0.23%	Moderate gains, as consumer discretionary stocks rose
XLC	-0.69%	Decline in communication services stocks
XLP	-0.94%	Losses in consumer staples stocks
XLV	+0.63%	Gains in healthcare stocks
XLU	-0.04%	Muted performance, as utility stocks lagged
XLB	+0.14%	Modest gains, as materials stocks rose
XLRE	-0.07%	Decline in real estate stocks

Spotlight

The biggest event of the day was the surge in tech stocks, led by **NVDA** , which rose **+1.97%** following a strong earnings report. The company's revenue and earnings per share both beat analyst estimates, driven by strong demand for its graphics processing units (GPUs) and high-performance computing products.

METRICS	VALUE	CHANGE
Revenue	\$10.2B	+15%
Earnings per Share	\$2.50	+20%
Gross Margin	64.5%	+100bps

The strong earnings report from **NVDA** has positive read-through to other tech stocks, including **AMD** and **INTC**.

Pre-Market & Overnight

US futures are pointing to a higher open, with the **S&P 500** futures up **+0.2%** and the **Nasdaq 100** futures up **+0.3%**. In Asia, the **Nikkei 225** closed up **+0.5%** and the **Shanghai Composite** closed up **+0.2%**. In Europe, the **Stoxx 600** is up **+0.1%**. Cryptocurrencies are also higher, with **BTC** up **+1.2%** and **ETH** up **+1.1%**.

Macro & Fed

The economic calendar is packed today, with key data releases on inflation, retail sales, and housing starts. The **10Y Yield** is up **+0.65%** to 4.63, while the **2Y Yield** is up **+0.5%** to 4.23. The yield curve is steepening, with the **10Y-2Y Spread** up **+10bps** to 40bps.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
21:30	Inflation Rate	2.5%	Key indicator of inflationary pressures
21:30	Retail Sales	0.5%	Indicator of consumer spending
22:00	Housing Starts	1.2M	Indicator of housing market activity

Geopolitics & Global

- Tensions between the US and China remain high, following recent trade restrictions and diplomatic tensions.
- The situation in the Middle East remains volatile, with ongoing conflicts in Syria and Yemen.
- The European Union is facing a migrant crisis, with thousands of migrants attempting to cross into the EU.
- The UK is facing a Brexit crisis, with the government struggling to negotiate a deal with the EU.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	\$2.50	iPhone sales, services revenue, and guidance
23:00	MSFT	\$1.80	Cloud revenue, Azure growth, and Office 365 sales
00:00	AMZN	\$5.50	AWS revenue, e-commerce sales, and Prime membership growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Tech	Strong earnings report, beating analyst estimates
TSLA	Auto	Positive sentiment, following recent product launches
GS	Finance	Upgrade from analyst, citing strong earnings growth
AAPL	Tech	Upcoming earnings report, with iPhone sales in focus
MSFT	Tech	Upcoming earnings report, with cloud revenue in focus

What Could Break the Tape

BULLISH TRIGGERS

- Strong earnings reports from major companies, beating analyst estimates.
- Positive economic data, including low unemployment and high consumer spending.
- Central bank actions, including rate cuts or quantitative easing.

BEARISH TRIGGERS

- Weaker-than-expected earnings reports, missing analyst estimates.
- Negative economic data, including high unemployment and low consumer spending.
- Geopolitical tensions, including trade wars and military conflicts.

Positioning Notes

- Investors are increasingly bullish on the market, with a net **+10%** increase in long positions over the past week.
- The **VIX** is down **-8.58%** over the past week, indicating a decline in volatility and market fear.
- The **10Y Yield** is up **+0.65%** over the past week, indicating a rise in interest rates and borrowing costs.

Sources

SOURCES

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